



LESSON ONE

AUCTION MARKET THEORY

Balance, imbalance, the value area and the 80% rule. The map the market draws every single session, and how to use it as the level layer under every trade you take.

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Ether, the free side of Ethos

Contents

What AMT actually is	FOUNDATIONS	03	>
Balance and imbalance	FOUNDATIONS	04	>
The value area: POC, VAH, VAL	STRUCTURE	05	>
The shape of the profile	STRUCTURE	06	>
The failed auction setup	STRUCTURE	07	>
Acceptance and failed auctions	BEHAVIOUR	08	>
The two rules of the auction	BEHAVIOUR	09	>
Day types	BEHAVIOUR	10	>
Reading the open	BEHAVIOUR	11	>
The pre-open checklist	EXECUTION	12	>
Common mistakes	EXECUTION	13	>

This guide pairs with Lesson 1 on the channel. [Watch the video](#) for the live walkthrough, keep this next to the charts.



What AMT actually is

First things first: auction market theory is not a strategy. It is a framework, a way of reading what the market is actually doing at any moment. You do not trade AMT on its own. You use it to know where you are on the map, then you let the entry triggers do the entering.

The market only ever does two things: **balance and **imbalance**.**

BALANCE, FAIR VALUE

Both sides agree on price. The auction rotates, volume builds around the middle, and the profile prints a bell curve. Most of the session's business happens here.

IMBALANCE, INEFFICIENCY

One side takes control and price leaves value to go find the next area of agreement. Thin volume, fast moves, the auction searching.

AMT can be drawn two ways, TPO graphs and volume profile graphs. Those get their own lessons. Everything in this one uses the bell curves from volume profile, because they are the fastest way to see the auction.

QUESTION ONE

Where is value?

The value area and the POC.
Chapter 3.

QUESTION TWO

Is price accepted or rejected?

Acceptance, failed auctions, the 80% rule. Chapters 5 and 6.

QUESTION THREE

What kind of day is it?

Day types and the open.
Chapters 8 and 9.

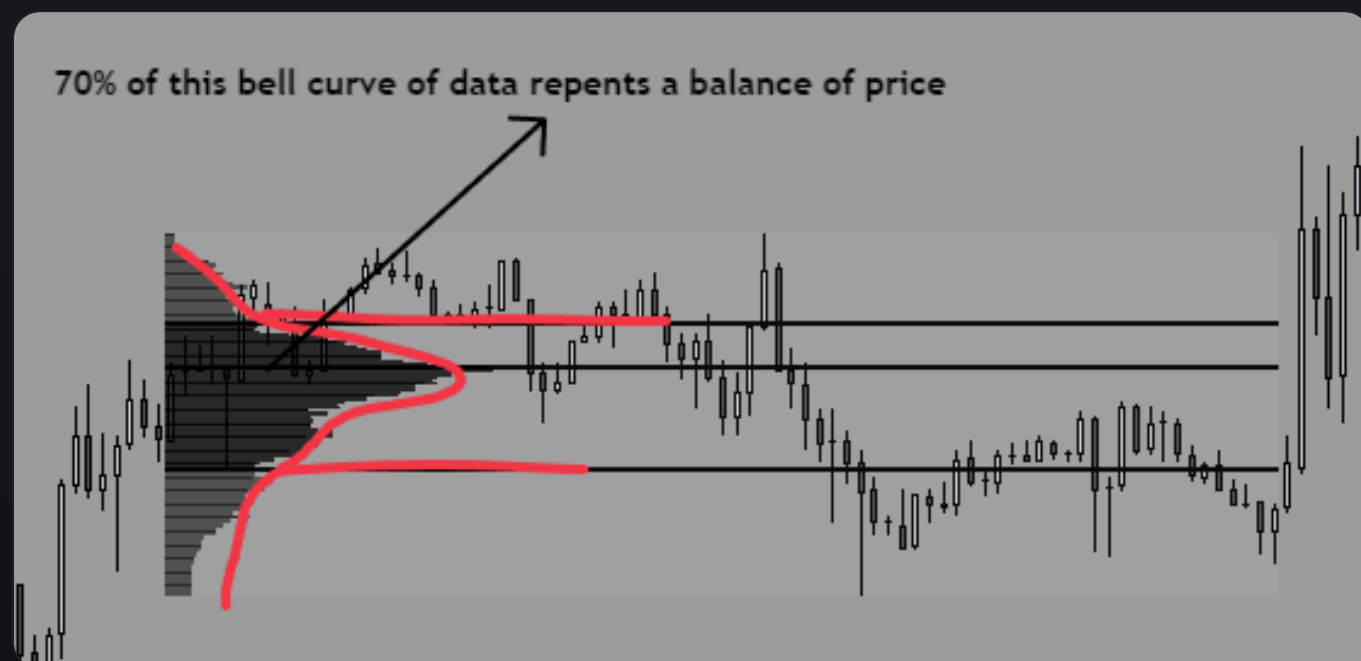
WHY IT MATTERS

Every tool in the method sits on top of this. If you cannot say whether the market is balancing or imbalancing right now, no entry trigger can save you, because you do not know which kind of trade the market is offering. The whole lesson is those three questions, asked in order.



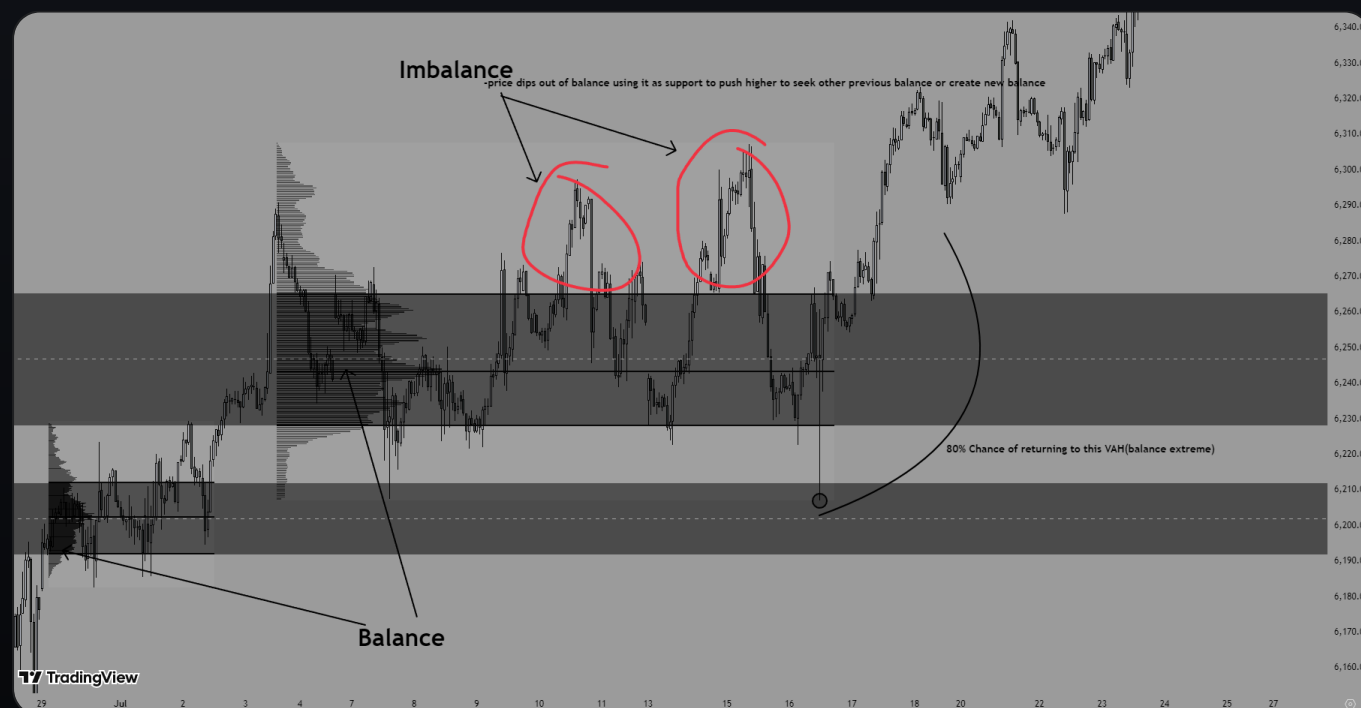
Balance and imbalance

Price always moves to find balance. When it moves out of balance it is in imbalance, and it will do one of two things: return to the old balance, or create a new one somewhere else. That is the whole engine.



Roughly 70% of the data in the bell curve is the balance. The fat part of the profile is where the market agreed.

The practical use: treat balance and imbalance areas as levels to play off with the DOM or the footprint. They are your dynamic support and resistance. The area tells you where the trade lives, the tape tells you when to take it.



Balance and imbalance marked on NQ. Price dips out of balance, uses it as support, then pushes to seek the next balance. The note on the right is the 80% rule at work.



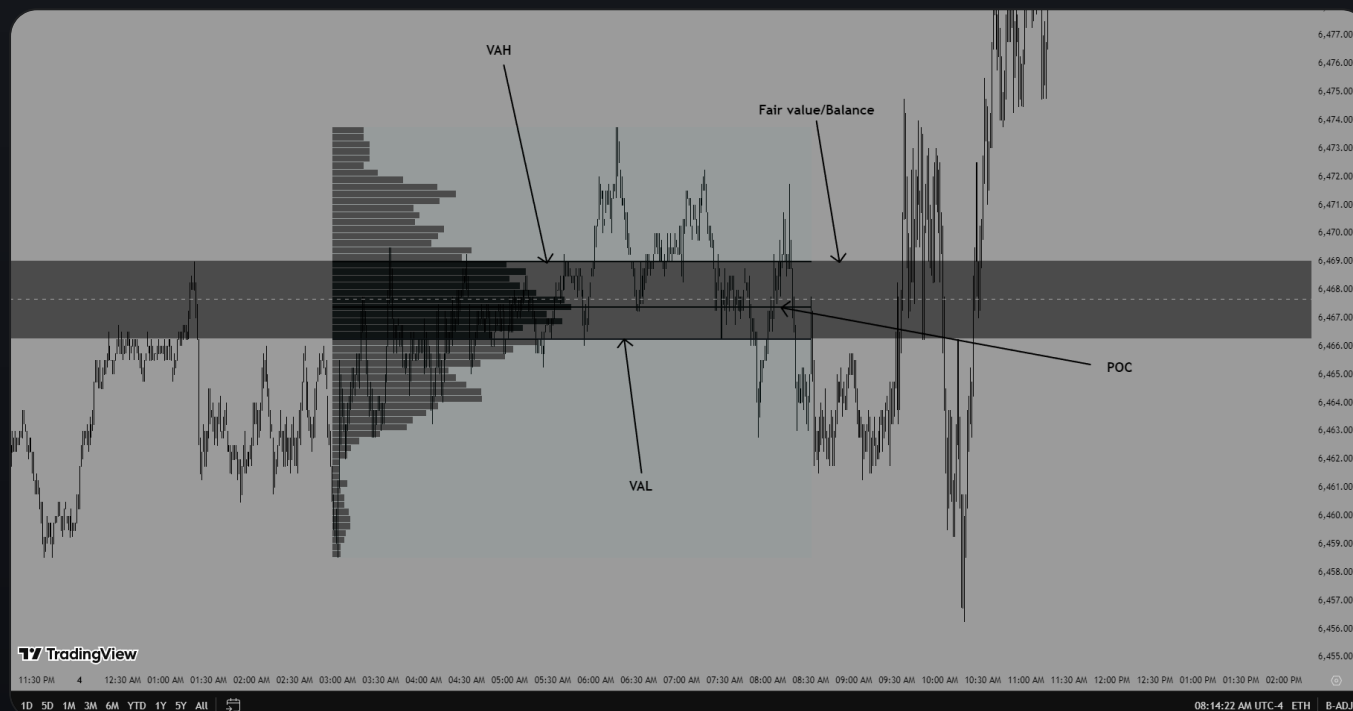
The value area: POC, VAH, VAL

Inside every balance there are three prices that matter more than the rest. They are the extremes of the value area, and they are where the auction makes its decisions.

POC Point of Control. The price where the most trading happened, the busiest shelf in the profile. The auction gravitates back to it.

VAH Value Area High. The top boundary of the zone holding roughly 70% of the volume. The ceiling of agreement.

VAL Value Area Low. The bottom boundary of that same 70% zone. The floor of agreement.



POC, VAH and VAL on the profile. Busiest price, top of value, bottom of value.

SET IT UP

On any fixed range volume profile, set Value Area Volume to 70. That draws the VAH, VAL and POC for you on whatever range you select.

READ IT

Above value, buyers won the argument. Below value, sellers did. Inside value, the argument is still going, expect rotation.



The shape of the profile

The profile is not just levels, its shape is a sentence. Four letters cover most of what you will see, and each one tells you who has been doing the business and what usually comes next.

D

BALANCED



A two sided auction. Fat middle, symmetric. The market agrees. Fade the edges back toward the POC.

P

SHORT COVERING



Fat top, thin tail below. Shorts getting squeezed out, buyers finishing. Common late in up moves. Expect balance after.

b

LONG LIQUIDATION



Fat bottom, thin tail above. Longs puking, sellers finishing. Common late in down moves. Same warning, reversed.

B

DOUBLE DISTRIBUTION



Two separate balances joined by a thin bridge. Treat each as its own value area, the bridge is the line in the sand.

HOW TO USE THE SHAPES

The thin part of any profile is the imbalance, business that never got done properly. Thin zones break fast and act as the reference when price comes back. The fat part is the magnet. Thin repels, fat attracts, that one line covers most profile reading.

P AND B ARE WARNINGS, NOT SIGNALS

A P shape late in a rally or a b shape late in a sell off tells you the move is being finished by the losing side covering, not by fresh conviction. It does not call the top or bottom, it tells you to stop chasing and start watching the balance that forms next.



The failed auction setup

This is the failed auction setup, the play the whole lesson builds to. When the market breaks out of value and later trades back into a prior value area, around 80% of the time it traverses that value in the opposite direction.

Re-entry into old value is the highest odds rotation in the auction.
That is how you catch the fade of a trend.



The failed auction setup drawn out. Price breaks below value, fails to hold, re-enters at the VAL, and traverses the whole area back to the VAH.

Price accepted back inside a prior balance has failed to hold the breakout. The auction treats the whole old value area as unfinished business and rotates across it, usually toward the opposite extreme. The strict version traders quote: once price re-enters and holds inside value, expect the full traverse.

THE PLAY

Mark prior value areas. When price breaks out and later re-enters one, look for the rotation across it toward the other side, and confirm the entry at the edge with the DOM or the footprint before you touch it.



Acceptance and failed auctions

A breakout on its own means nothing. What decides everything is whether the new prices get accepted.

ACCEPTANCE

Price breaks out of fair value on significant volume with convincing price action, and holds. The market participants agreed on new prices. The old boundary flips, support becomes resistance or the other way round, and you can expect continuation once the old value area gets retested.

FAILED AUCTION

Price pokes outside value and does not gain acceptance. No increase in volume on the breakout, long wicks, a quick return back through the point of breakout. These are the V shape reversals straight back to the levels.

For price action traders these are the same support and resistance flips you already know, just with the reason underneath them. Volume confirms the flip, the wick exposes the failure.

HOW TO TELL THEM APART

Volume and behaviour at the edge. Acceptance builds volume outside value and holds the retest. A failed auction is quiet on the break, wicks hard, and snaps back inside within a few rotations.



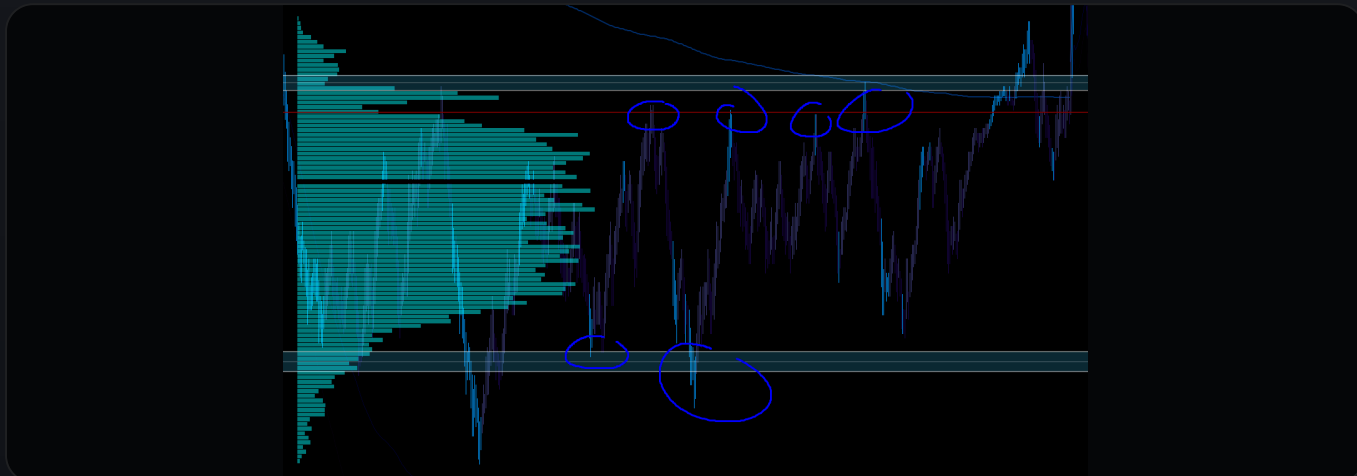
The two rules of the auction

Two rules govern what happens next, and between them they cover most sessions you will ever trade.



Rule one, balance stays balanced until proven otherwise

Price inside a balance tends to remain inside it, and the extremes of that balance hold as support and resistance. Fade the edges back toward the POC until the market shows you acceptance outside.

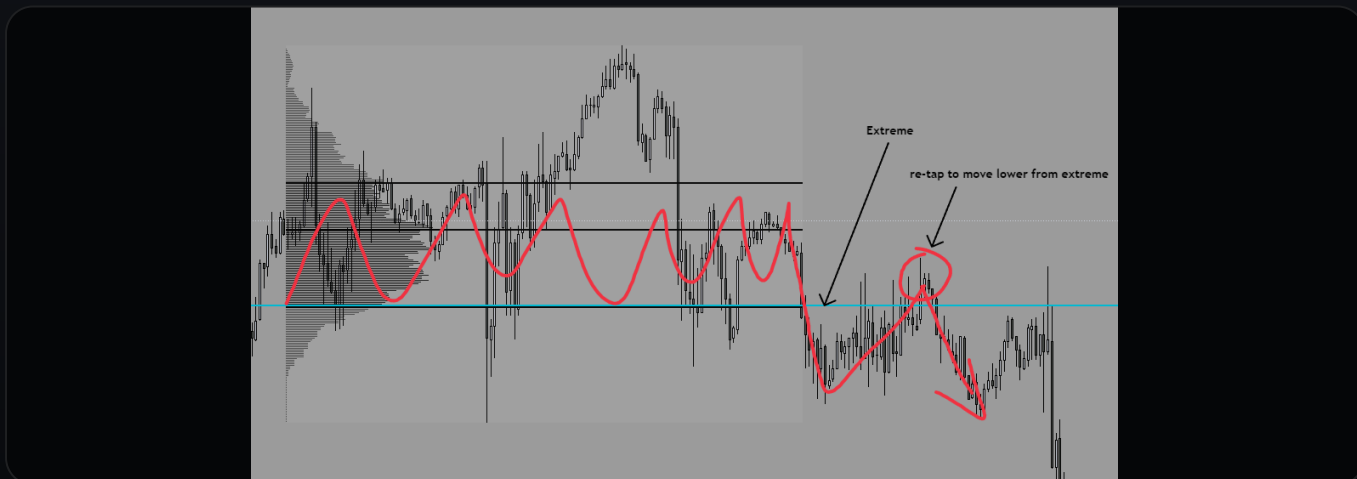


Rule one on an order flow platform. The balance extremes hold, and the rotation trades edge to edge.



Rule two, out of balance the ledges carry the move

When price leaves a balance, the ledges of the prior balance are what hold for the move to continue. The level that was support becomes the resistance that fuels the next leg, and the reverse on the way up.



Rule two in action. Price leaves the balance and the prior ledge holds as the move continues.



Day types

Sessions are not all the same animal. AMT sorts them into day types, and knowing which one you are in by late morning decides which layer of your edge is even allowed to trade.

TREND DAY

Opens near one extreme, closes near the other. Value migrates all session, every pullback is shallow and gets bought or sold again. The profile prints long and thin. Continuation only, never fade it.

NORMAL DAY

A wide early range, then rotation inside it for the rest of the session. The profile fattens into a D. Fade the extremes, target the POC.

NORMAL VARIATION

The early range gets extended once, roughly doubling it, then the market balances in the new area. One directional push, then rotation. Trade the push, then switch to fading.

NEUTRAL DAY

Range extension on both sides of the open, the auction genuinely undecided. Close in the middle means confusion, close at an extreme tells you who won late. Keep size small until it picks.

NON TREND DAY

Nobody shows up. Narrow, quiet, usually in front of news. The edge is knowing there is no edge, stand down or scalp tiny.

THE POINT

Most blown accounts are a day type error: running continuation on a normal day, or fading a trend day because price looks far from value. Name the day before you size the trade.



Reading the open

The first half hour tells you more about the coming session than any indicator, because the open is where the overnight decision gets revealed. Four open types, in order of conviction.

OPEN DRIVE

Price drives hard in one direction straight off the open and never trades back through it. The strongest statement the market can make. Do not fade it, look for continuation entries on shallow pullbacks.

OPEN TEST DRIVE

The market opens, tests a key reference first, prior low, prior value edge, finds no business there, then drives the other way. Second strongest, and it hands you the level your risk lives behind.

OPEN REJECTION REVERSE

Opens, auctions one way, gets rejected and trades back through the open. Moderate conviction, expect two sided trade and treat the rejection extreme as the day's reference.

OPEN AUCTION

Price rotates around the open with no conviction either way. Nobody is in control, expect a balance day and treat the early extremes as fade material.

WHY THIS PAIRS WITH DAY TYPES

The open type is the earliest read on the day type. An open drive points at a trend day. An open auction points at a normal day. You are building the same picture from two angles before most traders have taken their first loss.



The pre-open checklist

Six checks, in order, before every session. The first three happen before the open, the last three in the first half hour. Run it the same way every day until it is boring, boring is the point.

-  **Mark yesterday's value**
POC, VAH, VAL and the balance ledges. Five minutes, done before the open, every session.
-  **Locate the overnight**
Is price inside or outside yesterday's value right now? Outside sets up the 80% rule, inside points at rotation.
-  **List the untouched references**
Old POCs never retested, prior session highs and lows, the ledges of old balances. These are the magnets and the targets.
-  **Read the open type**
First 30 minutes: drive, test drive, rejection reverse, or auction. That is your earliest day type call.
-  **Name the day type, pick the layer**
Balance day, fade the edges. Trend day, continuation only. Say it out loud before the first trade.
-  **Confirm at the level with the tape**
No DOM or footprint confirmation, no trade. AMT gives the where, never the when.

THE WHOLE ROUTINE IS TEN MINUTES

That is the entire cost of never trading blind again. Most traders spend more time scrolling for setups than it takes to map the auction that actually decides them.



Common mistakes

The ways traders lose money with AMT are predictable, which means they are avoidable. All five below are the same root error: treating a framework like a signal.



Trading AMT on its own

The levels are context. Without a trigger from the tape you are just guessing at lines, the same as every support and resistance trader you have seen blow up.



Fading a trend day

Price being far from value is not a fade signal, on a trend day it is the definition of the day. Name the day type first, the fade layer is only allowed on balance days.



Treating the 80% rule as a promise

It is odds, not certainty. The one time in five it fails will hurt if you sized like it could not.



Marking every level on the chart

Too many levels is the same as no levels. Prior value areas, untested POCs and the old balance ledges, that is the list. If everything is a level, nothing is.



Reading a finished profile on a live day

The profile builds all session. A D shape at 11am can be a trend day by 2pm. Re-read after every big impulse, the same way you re-read gamma.

THE FIX FOR ALL FIVE

One habit: before every entry, say the day type and the level out loud, then ask what the tape shows at that level right now. If you cannot answer both in one sentence each, there is no trade yet.





Now trade the auction.

You can now read where value is and which move is on. Inside Ethos, the mentorship, you learn the KG models that trade it, with live sessions three times a week and the DOM and footprint doing the triggering.



Mark value before the open

Prior balances, POC, VAH and VAL. The map takes five minutes.



Let the auction pick the play

Inside value fade the edges. Out of value trade the ledges and acceptance.



Confirm every level with order flow

AMT is context, the tape is the trigger.

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